ENGIE RCS PTE. LTD.
Registration Number: 200105444R
(Incorporated in Singapore)

DIRECTORS' STATEMENT
AND FINANCIAL STATEMENTS
FINANCIAL YEAR ENDED 31 DECEMBER 2024

FORVIS MAZARS LLP
Public Accountants and
Chartered Accountants
Singapore

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The directors present their statement to the member together with the audited financial statements of Engie RCS Pte. Ltd. (the "Company") for the financial year ended 31 December 2024.

1. Opinion of the directors

In the opinion of the directors,

(a) the financial statements of the Company are drawn up so as to give a true and fair view of the financial position of the Company as at 31 December 2024, and of the financial performance, changes in equity and cash flows of the Company for the financial year ended on that date; and

(b) at the date of this statement, there are reasonable grounds to believe that the Company will be able to pay its debts as and when they fall due.

2. Directors

The directors of the Company in office at the date of this statement are:

Yoong Tuk Mun Derrick
Janet Olivia Tang Schmidtner Muo Lung

3. Arrangements to enable directors to acquire shares or debentures

Neither at the end of nor at any time during the financial year was the Company a party to any arrangement whose objects were, or one of the objects was, to enable the directors of the Company to acquire benefits by means of the acquisition of shares in, or debentures of, the Company or any other body corporate, except as disclosed in paragraphs 4 and 5 below.

4. Directors' interests in shares or debentures

In accordance with the Companies (Relief for Company Directors under section 202(2)) Order 2024, the directors of the Company have obtained the consent from all members of the Company on the non-disclosure of the requirement in item 9 of the Twelfth Schedule of the Companies Act 1967 to disclose directors' interests in shares or debentures of the Company and related corporations in Directors' Statement.

5. Share options

There were no share options granted by the Company during the financial year.

There were no shares issued during the financial year by virtue of the exercise of options to take up unissued shares of the Company.

There were no unissued shares under option in the Company as at the end of the financial year.

6. Auditors

The auditors, Forvis Mazars LLP, have expressed their willingness to accept re-appointment.

By the directors,

Signed by: 4D542C39222547D...	DocuSigned by: JANET OLIVIA TANG 669E940DC790435...
Yoong Tuk Mun Derrick	**Janet Olivia Tang Schmidtner Muo Lung**
Director	Director

Singapore
30 June 2025

Forvis Mazars LLP
135 Cecil Street
#10-01
Singapore 069536
Tel +65 6224 4022
forvismazars.com/sg

INDEPENDENT AUDITORS' REPORT TO THE MEMBER OF ENGIE RCS PTE. LTD.

Report on the Audit of Financial Statements

Opinion

We have audited the financial statements of Engie RCS Pte. Ltd. (the "Company") which comprise the statement of financial position of the Company as at 31 December 2024 and the statements of profit or loss and other comprehensive income, changes in equity and cash flows of the Company for the financial year then ended, and notes to the financial statements, including a summary of material accounting policy information.

In our opinion, the accompanying financial statements are properly drawn up in accordance with the provisions of the Companies Act 1967 (the "Act") and Financial Reporting Standards in Singapore (FRSs) so as to give a true and fair view of the financial position of the Company as at 31 December 2024 and of the financial performance, changes in equity and cash flows of the Company for the year ended on that date.

Basis for Opinion

We conducted our audit in accordance with Singapore Standards on Auditing ("SSAs"). Our responsibilities under those standards are further described in *the Auditors' Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the Company in accordance with the Accounting and Corporate Regulatory Authority ("ACRA") *Code of Professional Conduct and Ethics for Public Accountants and Accounting Entities* ("ACRA code") together with the ethical requirements that are relevant to our audit of the financial statements in Singapore, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ACRA code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other Information

Management is responsible for the other information. The other information comprises the Directors' Statement.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Report on the Audit of Financial Statements (Continued)

Responsibilities of Management and Directors for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with the provisions of the Act and FRSs, and for devising and maintaining a system of internal accounting controls sufficient to provide reasonable assurance that assets are safeguarded against loss from unauthorised use or disposition; and transactions are properly authorised and that they are recorded as necessary to permit the preparation of true and fair financial statements and to maintain accountability of assets.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The directors' responsibilities include overseeing the Company's financial reporting process.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SSAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Company to cease to continue as a going concern.

Report on the Audit of Financial Statements (Continued)

Auditors' Responsibilities for the Audit of the Financial Statements (Continued)

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Report on Other Legal and Regulatory Requirements

In our opinion, the accounting and other records required by the Act to be kept by the Company have been properly kept in accordance with the provisions of the Act.

Forvis Mazars LLP

FORVIS MAZARS LLP
Public Accountants and
Chartered Accountants

Singapore
30 June 2025

ENGIE RCS PTE. LTD.

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024

	Note	2024 $	2023 $
Revenue	4	103,827,745	170,822,614
Other income	5	1,383,904	1,183,258
Contract costs		(90,797,209)	(159,440,361)
Contract costs – Depreciation of right-of-use assets		(169,987)	(138,543)
Depreciation of plant and equipment		(145,987)	(165,610)
Depreciation of right-of-use assets		(79,217)	(92,648)
Employee benefits expense	6	(2,141,859)	(3,226,101)
Management fee expense		(839,000)	(2,375,000)
Other operating expenses		(1,108,052)	(792,840)
Finance costs	7	(15,645)	(4,801)
Profit before income tax	8	9,914,693	5,769,968
Income tax expense	9	(2,288,815)	(999,809)
Profit for the financial year, representing total comprehensive income for the financial year		7,625,878	4,770,159
Other comprehensive income/(loss):			
Components of other comprehensive income/(loss) that will be reclassified to profit or loss, net of taxation			
Exchange differences on translation foreign operations		443,771	(167,146)
Total other comprehensive income/(loss) that will be reclassified to profit or loss, net of taxation		443,771	(167,146)
Total comprehensive income for the year		8,069,649	4,603,013

The accompanying notes form an integral part of and should be read in conjunction with these financial statements.

STATEMENT OF FINANCIAL POSITION
AS AT 31 DECEMBER 2024

	Note	2024 $	2023 $
ASSETS			
Current assets			
Cash and cash equivalents	10	2,588,638	944,044
Corporate cash pooling	11	19,527,105	7,094,440
Trade and other receivables	12	22,130,243	69,770,746
Contract assets	13	10,271,589	23,832,195
Total current assets		54,517,575	101,641,425
Non-current assets			
Plant and equipment	14	174,555	266,741
Right-of-use assets	18(a)	355,804	112,982
Deferred tax assets	15	643,009	1,291,294
Total non-current assets		1,173,368	1,671,017
Total assets		55,690,943	103,312,442
EQUITY AND LIABILITIES			
Equity			
Share capital	19	2,250,000	2,250,000
Retained earnings		9,162,838	4,770,159
Capital reserve	20	723,200	723,200
Currency translation reserve	20	224,619	(219,152)
Total equity		12,360,657	7,524,207
Current liabilities			
Trade and other payables	16	35,330,192	91,737,338
Contract liabilities	13	5,676,935	2,523,639
Provision for contract costs	17	268,810	370,000
Lease liabilities	18(b)	222,775	98,311
Income tax payable		1,692,554	1,043,033
Total current liabilities		43,191,266	95,772,321
Non-current liabilities			
Lease liabilities	18(b)	139,020	15,914
Total liabilities		43,330,286	95,788,235
Total equity and liabilities		55,690,943	103,312,442

The accompanying notes form an integral part of and should be read in conjunction with these financial statements.

ENGIE RCS PTE. LTD.

STATEMENT OF CHANGES IN EQUITY
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024

	Share capital $	Retained earnings $	Capital reserve $	Currency translation reserve $	Total $
At 1 January 2023	2,250,000	5,557,618	723,200	(52,006)	8,478,812
Profit for the year	-	4,770,159	-	-	4,770,159
Other comprehensive loss:					
Exchange differences on translating foreign operation	-	-	-	(167,146)	(167,146)
Dividends payable (Note 21)	-	(5,557,618)	-	-	(5,557,618)
At 31 December 2023	2,250,000	4,770,159	723,200	(219,152)	7,524,207
Profit for the year	-	7,625,878	-	-	7,625,878
Other comprehensive loss:					
Exchange differences on translating foreign operation	-	-	-	443,771	443,771
Dividends paid (Note 21)	-	(3,233,199)	-	-	(3,233,199)
At 31 December 2024	2,250,000	9,162,838	723,200	224,619	12,360,657

The accompanying notes form an integral part of and should be read in conjunction with these financial statements.

STATEMENT OF CASH FLOWS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024

	2024 $	2023 $
Operating activities		
Profit before income tax	9,914,693	5,769,968
Adjustments for:		
Depreciation of plant and equipment	145,987	165,610
Depreciation of right-of-use assets	249,204	231,191
Loss/(Gain) on disposal of plant and equipment	165	(277)
Provision for contract costs	-	257,000
Interest expense	15,645	4,801
Interest income	(863,320)	(450,416)
Unrealised foreign exchange differences	443,810	(167,207)
Operating cash flows before movements in working capital	9,906,184	5,810,670
Movements in working capital:		
Trade and other receivables	47,640,503	(14,297,070)
Contract assets/liabilities	16,713,902	8,850,779
Trade and other payables	(50,849,528)	(22,694,886)
Provision for contract costs	(101,190)	-
Cash generated from/(used in) operations	23,309,871	(22,330,507)
Income tax paid	(991,009)	(1,867,598)
Net cash generated from/(used in) operating activities	22,318,862	(24,198,105)
Investing activities		
Corporate cash pooling	(12,432,665)	21,023,326
Interest received	863,320	450,416
Proceeds from disposal of plant and equipment	60	400
Purchase of plant and equipment	(54,065)	(140,570)
Net cash (used in)/generated from investing activities	(11,623,350)	21,333,572
Financing activities		
Dividends paid	(8,790,817)	-
Repayment of lease liabilities	(260,101)	(237,668)
Net cash used in financing activities	(9,050,918)	(237,668)
Net increase/(decrease) in cash and cash equivalents	1,644,594	(3,102,201)
Cash and cash equivalents at beginning of financial year	944,044	4,046,245
Cash and cash equivalents at end of financial year	2,588,638	944,044

The accompanying notes form an integral part of and should be read in conjunction with these financial statements.

Reconciliation of liability arising from financing activity

	At beginning of year	Financing cash flows	Non-cash movement				At end of year
			Dividend declared	Acquisition	Disposal	Interest expenses	
	$	$	$	$	$	$	$
2024							
Dividend payable	5,557,618	(8,790,817)	3,233,199	-	-	-	-
Lease liabilities	114,225	(260,101)	-	492,026	-	15,645	361,795
2023							
Dividend payable	-	-	5,557,618	-	-	-	5,557,618
Lease liabilities	254,974	(237,668)	-	92,118	-	4,801	114,225

The accompanying notes form an integral part of and should be read in conjunction with these financial statements.

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1. General information

Engie RCS Pte. Ltd. (the "Company") (Registration Number: 200105444R) is a private limited company incorporated and domiciled in Singapore. Its registered office and principal place of business is at 108 Pasir Panjang Road, #05-07 Golden Agri-Plaza, Singapore 118535.

The principal activities of the Company are those relating to general engineering and construction works.

The Company's immediate holding company is ENGIE South East Asia Pte. Ltd., incorporated in Singapore. The intermediate and ultimate holding companies are ENGIE Energie Services and ENGIE S.A., respectively, both incorporated in France.

The financial statements included the audited results, asset and liabilities of a representative office in Indonesia (the "Representative office"). The Representative office was registered with Badan Koordinasi Penanaman Modal on 12 December 2019 with the registered office and principal place of business is at Sentraya Office Tower Lantai 20, JI. Iskandarsyah Raya, Melawi – Kebayoran Baru Jakarta Selatan, Indonesia and is primarily engaged in construction work.

The financial statements of the Company for the financial year ended 31 December 2024 were authorised for issue by the directors on the date of directors' statement.

2. Summary of material accounting policies

2.1 Basis of preparation

The financial statements of the Company have been drawn up in accordance with the provisions of the Singapore Companies Act 1967 and Financial Reporting Standards in Singapore ("FRSs") including related Interpretations of FRS ("INT FRSs") and are prepared on the historical cost basis, except as disclosed in the accounting policies below.

The financial statements of the Company are measured and presented in the currency of the primary economic environment in which the Company operates (its functional currency). The financial statements of the Company are presented in Singapore Dollars ("$") which is also the functional currency of the Company.

In the current financial year, the Company has adopted all the new and revised FRSs and INT FRSs that are relevant to its operations and effective for annual periods beginning on or after 1 January 2024. The adoption of these new/revised FRSs and INT FRSs did not result in changes to the Company's accounting policies and has no material effect on the current or prior year's financial statements and is not expected to have material effect on future periods.

2. Summary of material accounting policies (Continued)

2.1 Basis of preparation (Continued)

FRSs and INT FRSs issued but not yet effective

At the date of authorisation of these financial statements, the following FRSs and INT FRSs that are relevant to the Company were issued but not yet effective:

FRSs	Title	Effective date (annual periods beginning on or after)
FRS 21, FRS 101	Amendments to FRS 21: *Lack of Exchangeability*	1 January 2025
FRS 109, FRS 107	Amendments to FRS 109 and FRS 107: *Amendments to the Classification and Measurement of Financial Instruments*	1 January 2026
Various	Annual improvements to FRSs – Volume 11	1 January 2026
FRS 118	Presentation and Disclosure in Financial Statements	1 January 2027
FRS 119	Subsidiaries without public accountability: Disclosures	1 January 2027
FRS 109, FRS 107	Amendments to FRS 109 and FRS107: *Contracts Referencing Nature-dependent Electricity*	1 January 2026
FRS 110, FRS 28	Amendments to FRS 110 and FRS 28: *Sale or Contribution of Assets between an Investor and its Associate or Joint Venture*	To be determined

Consequential amendments were also made to various standards as a result of these new or revised standards.

The Company does not intend to early adopt any of the above new/revised standards, interpretations and amendments to the existing standards. Management anticipates that the adoption of the aforementioned revised/new standards, with the exception of FRS 118 Presentation and Disclosure in Financial Statements, will not have a material impact on the financial statements of the Company in the period of their initial adoption.

FRS 118, effective for annual periods beginning on or after 1 January 2027, replaces FRS 1 Presentation of Financial Statements and introduces new requirements for presentation and disclosure in financial statements. FRS 118 mandates a new structure for the statement of profit or loss and also requires disclosure of newly defined management-defined performance measures, subtotals of income and expenses, and includes new requirements for aggregation and disaggregation of financial information based on the identified 'roles' of the primary financial statements and the notes. As a consequential result of FRS 118 requirements, all entities are required to use the operating profit subtotal, instead of profit or loss, as the starting point for presenting operating cash flows under the indirect method. The classification of cash flows from dividends and interests in either operating, investing and financing cash flows is also fixed.

FRS 118 will apply retrospectively. The Company is still in the process of assessing the corresponding impact on the primary financial statements and notes to the financial statements.

2.2 Revenue recognition

Revenue from contracts with its customers is recognised when or as the Company satisfies a performance obligation by transferring a promised good or service generated in the ordinary course of the Company's activities to its customer, at a transaction price that reflects the consideration the Company expects to be entitled in exchange for the goods or service and that is allocated to that performance obligation. The goods or service is transferred when or as the customer obtains control of the goods or service.

2. Summary of material accounting policies (Continued)

2.2 Revenue recognition (Continued)

Construction revenue

The Company provides general engineering, installation and construction work for its customers. These projects are being carried out based on specifically negotiated contracts with customers.

Revenue from construction contracts is recognised over time, using the input method to measure progress towards complete satisfaction of the service, as the customer simultaneously receives and consumes the benefits provided by the Company. In the application of the input method, the Company has used cost-to-cost method (i.e. based on the proportion of contract costs incurred for work performed to date relative to the estimated contract costs). Contract costs are mainly driven by material, labour costs and modifications in contract revenue.Accordingly, in view of the nature of the service, management considers that this input method is most appropriate in measuring the progress towards complete satisfaction of these performance obligations under FRS 115.

Advance consideration received from customers for services not yet provided is recognised as a contract liability (Note 13).

Ad-hoc services

The Company provides ad-hoc services such as fit-out works, replacement works and building works. Revenue is recognised upon the delivery of goods or provision of service at a point in time.

Interest income

Interest income is accrued on a time basis, by reference to the principal outstanding and at the effective interest rate applicable.

2.3 Borrowing costs

Borrowing costs directly attributable to the acquisition, construction or production of qualifying assets, which are assets that necessarily take a substantial period of time to get ready for their intended use or sale, are added to the cost of those assets, until such time as the assets are substantially ready for their intended use or sale. Borrowing costs on general borrowings are capitalised by applying a capitalisation rate to construction or development expenditures that are financed by general borrowings. Investment income earned on the temporary investment of specific borrowings pending their expenditure on qualifying assets is deducted from the borrowing costs eligible for capitalisation.

All other borrowing costs are recognised in profit or loss in the period in which they are incurred.

2.4 Retirement benefit costs

Payments to defined contribution retirement benefit plans are charged as an expense when employees have rendered the services entitling them to the contributions. Payments made to state-managed retirement benefit schemes, such as the Singapore Central Provident Fund, are dealt with as payments to defined contribution plans where the Company’s obligations under the plans are equivalent to those arising in a defined contribution retirement benefit plan.

2. Summary of material accounting policies (Continued)

2.5 Employee leave entitlement

Employee entitlements to annual leave are recognised when they accrue to employees. A provision is made for the estimated liability for annual leave as a result of services rendered by employees up to the end of the reporting period.

2.6 Income tax

Income tax expense represents the sum of the tax currently payable and deferred tax.

The tax currently payable is based on taxable profit for the financial year. Taxable profit differs from profit as reported in the profit or loss because it excludes items of income or expense that are taxable or deductible in other years and it further excludes items that are not taxable or tax deductible. The Company's liability for current tax is calculated using tax rates (and tax laws) that have been enacted or substantively enacted by the end of the financial year.

Deferred tax is recognised on the differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit, and are accounted for using the liability method. Deferred tax liabilities are generally recognised for all taxable temporary differences and deferred tax assets are recognised to the extent that it is probable that taxable profits will be available against which deductible temporary differences can be utilised.

A deferred income tax asset is recognised to the extent that it is probable that future taxable profit will be available against which the deductible temporary differences and tax losses can be utilised.

The carrying amount of deferred tax assets is reviewed at the end of each financial year and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered.

Deferred tax is calculated at the tax rates that are expected to apply in the period when the liability is settled or the asset realised based on the tax rates (and tax laws) that have been enacted or substantively enacted by the end of the financial year and based on the tax consequence that will follow from the manner in which the Company expects, at the end of the financial year, to recover or settle the carrying amounts of its assets and liabilities. Deferred tax is charged or credited to profit or loss, except when it relates to items charged or credited directly to equity, in which case the deferred tax is also dealt with in equity.

Deferred tax assets and liabilities are offset when there is a legally enforceable right to set off current tax assets against current tax liabilities and when they relate to income taxes levied by the same taxation authority and the Company intends to settle its current tax assets and liabilities on a net basis.

Current and deferred tax are recognised as an expense or income in profit or loss, except when they relate to items credited or debited directly to equity, in which case the tax is also recognised directly in equity.

2. Summary of material accounting policies (Continued)

2.7 Dividends

Equity dividends are recognised as a liability when they become legally payable. Interim dividends are recorded in the financial year in which they are declared payable. Final dividends are recorded in the financial year in which dividends are approved by shareholders. A corresponding amount is recognised in equity.

2.8 Foreign currency transactions and translation

Foreign currency transactions are translated into the Company's functional currency at the exchange rates prevailing on the dates of the transactions. At the end of each financial year, monetary items denominated in foreign currencies are retranslated at the rates prevailing as of the end of the financial year. Non-monetary items carried at fair value that are denominated in foreign currencies are retranslated at the rates prevailing on the date when the fair value was determined. Non-monetary items that are measured in terms of historical cost in a foreign currency are not retranslated.

Exchange differences arising on the settlement of monetary items, and on retranslation of monetary items are included in profit or loss for the year. Exchange differences arising on the retranslation of non-monetary items carried at fair value are included in profit or loss for the year except for differences arising on the retranslation of non-monetary items in respect of which gains and losses are recognised directly in equity. For such non-monetary items, any exchange component of that gain or loss is also recognised directly in other comprehensive income.

Exchange differences relating to assets under construction for future productive use, are included in the cost of those assets where they are regarded as an adjustment to interest costs on foreign currency borrowings.

For the purpose of presenting financial statements, the assets and liabilities of the Company's foreign operations (including comparatives) are expressed in Singapore dollars using exchange rates prevailing at the end of the financial year. Income and expense items (including comparatives) are translated at the average exchange rates for the period, unless exchange rates fluctuated significantly during that period, in which case the exchange rates at the dates of the transactions are used. Exchange differences arising, if any, are classified as equity and transferred to the Company's translation reserve. Such translation differences are recognised in profit or loss in the period in which the foreign operation is disposed of.

2.9 Plant and equipment

Plant and equipment are stated at cost, less accumulated depreciation and any accumulated impairment losses. The cost of plant and equipment includes its purchase price and any costs directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management. Dismantlement, removal or restoration costs are included as part of the cost of plant and equipment if the obligation for dismantlement, removal or restoration is incurred as a consequence of acquiring or using the plant and equipment.

Depreciation is charged so as to write off the cost of plant and equipment except for construction-in-progress over their estimated useful lives, using the straight-line method, on the following bases:

Furniture and office equipment	10%
Computer and software	33.33%
Motor vehicles	20%
Renovation	33.33%

2. Summary of material accounting policies (Continued)

2.9 Plant and equipment (Continued)

For right-of-use assets for which ownership of the underlying asset is not transferred to the Company by the end of the lease term, depreciation is charged over the lease term, using the straight-line method. The lease periods are disclosed in Note 18.

The carrying values of property, plant and equipment are reviewed for impairment when events or changes in circumstances indicate that the carrying value may not be recoverable.

The estimated useful lives, residual value and depreciation method are reviewed at the end of each reporting period, with the effect of any changes in estimate accounted for on a prospective basis.

The gain or loss arising on disposal or retirement of an asset is determined as the difference between the sale proceeds and the carrying amount of the asset and is recognised in profit or loss.

Fully depreciated plant and equipment are retained in the financial statements until they are no longer in use.

2.10 Impairment of non-financial assets

The Company reviews the carrying amounts of its non-financial assets as at each reporting date to assess for any indication of impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any). Where it is not possible to estimate the recoverable amount of an individual asset, the Company estimates the recoverable amount of the cash-generating unit to which the asset belongs.

The recoverable amount of an asset or cash-generating unit is the higher of its fair value less costs to sell and its value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

An impairment loss for the amount by which the asset's carrying amount exceeds the recoverable amount is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the impairment loss is treated as a revaluation decrease.

Where an impairment loss subsequently reverses, the carrying amount of the asset (cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (cash-generating unit) in prior years. A reversal of an impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

2.11 Financial instruments

The Company recognises a financial asset or a financial liability in its statement of financial position when, and only when, the Company becomes party to the contractual provisions of the instrument.

2. Summary of material accounting policies (Continued)

2.11 Financial instruments (Continued)

Financial assets

Initial recognition and measurement

All financial assets are recognised on trade date – the date on which the Company commits to purchase or sell the asset. With the exception of trade receivables that do not contain a significant financing component or for which the Company applies a practical expedient, all financial assets are initially measured at fair value, plus transaction costs, except for those financial assets classified as at fair value through profit or loss, which are initially measured at fair value. Such trade receivables that do not contain a significant financing component or for which the Company applies a practical expedient are measured at transaction price as defined in FRS 115 *Revenue from Contracts with Customers* ("FRS 115") in Note 2.2.

Financial assets are classified as subsequently measured at amortised cost. The classification at initial recognition depends on the Company's business model for managing the financial assets and the contractual cash flow characteristics of the financial asset.

The Company's business model refers to how the Company manages its financial assets in order to generate cash flows which determines whether cash flows will result from collecting contractual cash flows, selling financial assets or both.

The Company determines whether the asset's contractual cash flows are solely payments of principal and interest ("SPPI") on the principal amount outstanding to determine the classification of the financial assets.

Financial assets at amortised cost

A financial asset is subsequently measured at amortised cost if the financial asset is held within a business model whose objective is to hold financial assets in order to collect contractual cash flows and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Subsequent to initial recognition, the financial asset at amortised cost is measured using the effective interest method and is subject to impairment. Gains or losses are recognised in profit or loss when the asset is derecognised, modified or impaired.

Effective interest method

The effective interest method is a method of calculating the amortised cost of a financial instrument and allocating the interest income or expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash receipts or payments (including all fees on points paid or received that form an integral part of the effective interest rate, transaction costs and other premiums or discounts) through the expected life of the financial instrument, or where appropriate, a shorter period, to the net carrying amount of the financial instrument. Income and expense are recognised on an effective interest basis for debt instruments other than those financial instruments at fair value through profit or loss.

2. Summary of material accounting policies (Continued)

2.11 Financial instruments (Continued)

Financial assets (Continued)

Impairment of financial assets

The Company recognises a loss allowance for expected credit losses ("ECL") on financial assets measured at amortised cost. At each reporting date, the Company assesses whether the credit risk on a financial asset has increased significantly since initial recognition by assessing the change in the risk of a default occurring over the expected life of the financial instrument. Where the financial asset is determined to have low credit risk at the reporting date, the Company assumes that the credit risk on a financial asset has not increased significantly since initial recognition.

The Company uses reasonable and supportable forward-looking information that is available without undue cost or effort as well as past due information when determining whether credit risk has increased significantly since initial recognition.

Where the credit risk on that financial instrument has increased significantly since initial recognition, the Company measures the loss allowance for a financial instrument at an amount equal to the lifetime ECL. Where the credit risk on that financial instrument has not increased significantly since initial recognition, the Company measures the loss allowance for that financial instrument at an amount equal to 12-month ECL.

The Company uses a practical expedient to recognise the ECL for trade receivables and contract assets, which is to measure the loss allowance at an amount equal to lifetime ECL using an allowance matrix derived based on historical credit loss experience adjusted for current conditions and forecasts of future economic conditions.

The amount of ECL or reversal thereof that is required to adjust the loss allowance at the reporting date to the amount that is required to be recognised is recognised in profit or loss.

While they are not financial assets, contract assets arising from the Company's contracts with customers under FRS 115 are assessed for impairment in accordance with FRS 109 Financial Instruments ("FRS 109"), similar to that of trade receivables.

The Company directly reduces the gross carrying amount of a financial asset when the entity has no reasonable expectations of recovering a financial asset in its entirety or a portion thereof.

For details on the Company's accounting policy for its impairment of financial assets, refer to Note 23.

Derecognition of financial assets

The Company derecognises a financial asset only when the contractual rights to the cash flows from the financial asset expire, or it transfers the financial asset and substantially all the risks and rewards of ownership of the asset to another entity. If the Company neither transfers nor retains substantially all the risks and rewards of ownership of the financial asset and continues to control the transferred asset, the Company recognises its retained interest in the asset and an associated liability for amounts it may have to pay. If the Company retains substantially all the risks and rewards of ownership of a transferred financial asset, the Company continues to recognise the financial asset and also recognises a collateralised borrowing for the proceeds receivables.

2. Summary of material accounting policies (Continued)

2.11 Financial instruments (Continued)

Financial liabilities and equity instruments

Classification as debt or equity

Financial liabilities and equity instruments issued by Company are classified according to the substance of the contractual arrangements entered into and the definitions of a financial liability and an equity instrument.

Equity instruments

An equity instrument is any contract that evidences a residual interest in the assets of the Company after deducting all of its liabilities. Equity instruments are recorded at the proceeds received, net of direct issue costs.

Ordinary share capital

Ordinary share capital is classified as equity. Incremental costs directly attributable to the issue of ordinary shares and share options are recognised as a deduction from equity.

Financial liabilities

Initial recognition and measurement

All financial liabilities are recognised on trade date - the date on which the Company commits to purchase or sell the asset. All financial liabilities are initially measured at fair value, minus transaction costs, except for those financial liabilities classified as at fair value through profit or loss, which are initially measured at fair value.

Financial liabilities are classified as either financial liabilities at fair value through profit or loss or other financial liabilities.

Financial liabilities are classified as at fair value through profit or loss if the financial liability is either held for trading or it is designated as such upon initial recognition. Financial liabilities classified as at fair value through profit or loss comprise derivatives that are not designated or do not qualify for hedge accounting.

Other financial liabilities

Trade and other payables

Trade and other payables are initially measured at fair value, net of transaction costs, and are subsequently measured at amortised cost, where applicable, using the effective interest method, with interest expense recognised on an effective yield basis. A gain or loss is recognised in profit or loss when the liability is derecognised and through the amortisation process.

Derecognition of financial liabilities

The Company derecognises financial liabilities when, and only when, the Company’s obligations are discharged, cancelled or they expire. The difference between the carrying amount and the consideration paid is recognised in profit or loss.

2. Summary of material accounting policies (Continued)

2.11 Financial instruments (Continued)

Offsetting of financial instruments

A financial asset and a financial liability shall be offset, and the net amount presented in the statement of financial position when, and only when, an entity:

(a) Currently has a legally enforceable right to set off the recognised amounts; and
(b) Intends either to settle on a net basis, or to realise the asset and settle the liability simultaneously.

2.12 Contract assets and liabilities

Contract assets primarily relate to the Company's right to consideration for work completed but not billed at the reporting date on services provided by the Company. Contract assets are transferred to trade receivables when the rights become unconditional. This usually occurs when the Company invoices the customer.

Contract liabilities primarily relate to advance consideration received from certain customers.

2.13 Cash and cash equivalent

Cash and cash equivalents comprise cash on hand, cash and deposits with banks and financial institutions. Cash and cash equivalents are short-term, highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of change in value.

2.14 Leases

At inception of a contract, the Company assessed whether the contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Where a contract contains more than one lease component, the Company allocates the consideration in the contract to each lease component on the basis of the relative standalone price of the lease component. Where the contract contains non-lease components, the Company applied the practical expedient to not to separate non-lease components from lease components, and instead account for each lease component and any associated non-lease components as a single lease component.

The Company recognises a right-of-use asset and lease liability at the lease commencement date for all lease arrangement for which the Company is the lessee, except for leases which have lease term of 12 months or less and leases of low value assets for which the Company applied the recognition exemption allowed under FRS 116 Leases ("FRS 116"). For these leases, the Company recognises the lease payment as an operating expense on a straight-line basis over the term of the lease.

The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, less any lease incentives received, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located.

2. Summary of material accounting policies (Continued)

2.14 Leases (Continued)

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term. When the lease transfers ownership of the underlying asset to the Company by the end of the lease term or the cost of the right-of-use asset reflects that the Company will exercise a purchase option, the right-of-use asset will be depreciated over the useful life of the underlying asset, which is determined on the same basis as those of property, plant and equipment. The right-of-use asset is also reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability, where applicable.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the lessee's incremental borrowing rate.

The Company generally uses the incremental borrowing rate as the discount rate. To determine the incremental borrowing rate, the Company obtains a reference rate and makes certain adjustments to reflect the terms of the lease and the asset leased.

The lease payments included in the measurement of the lease liability comprise the following:

- fixed payments, including in-substance fixed payments less any lease incentive receivable,
- variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date,
- amounts expected to be payable under a residual value guarantee,
- the exercise price under a purchase option that the Company is reasonably certain to exercise, and
- payments of penalties for terminating the lease if the Company is reasonably certain to terminate early and lease payments for an optional renewal period if the Company is reasonably certain to exercise an extension option.

The lease liability is measured at amortised cost using the effective interest method. The Company remeasures the lease liability when there is a change in the lease term due to a change in assessment of whether it will exercise a termination or extension or purchase option or due to a change in future lease payment resulting from a change in an index or a rate used to determine those payment.

Where there is a remeasurement of the lease liability, a corresponding adjustment is made to the right-of-use asset or in profit or loss where there is a further reduction in the measurement of the lease liability and the carrying amount of the right-of-use asset has been reduced to zero.

2.15 Provisions

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event where, it is probable that the Company will be required to settle that obligation, and a reliable estimate can be made of the amount for the obligation.

The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the end of the financial year, taking into account the risks and uncertainties surrounding the obligation. Where a provision is measured using the cash flows estimated to settle the present obligation, its carrying amount is the present value of those cash flows, which is discounted using a pre-tax discount rate.

2. Summary of material accounting policies (Continued)

2.15 Provisions (Continued)

When some or all of the economic benefits required to settle a provision are expected to be recovered from a third party, the receivable is recognised as an asset if it is virtually certain that reimbursement will be received and the amount of the receivable can be measured reliably.

Changes in the estimated timing or amount of the expenditure or discount rate are recognised in profit or loss as they arise.

2.16 Government grants

Government grants are recognised when there is reasonable assurance that the grant will be received and all attaching conditions will be complied with. Where the grant relates to an expense, the grant is recognised as income in profit or loss on a systematic basis over the periods in which the related costs, for which the grants are intended to compensate, is expensed. Where the grant relates to an asset, the grant is recognised as deferred capital grant on the statement of financial position and is amortised to profit or loss over the expected useful life of the relevant asset by equal annual instalment.

2.17 Fair value of assets and liabilities

The fair values of applicable assets and liabilities, are determined and categorised using a fair value hierarchy as follows:

(a) Level 1 - the fair values of assets and liabilities with standard terms and conditions and which trade in active markets that the Company can access at the measurement date are determined with reference to quoted market prices (unadjusted).

(b) Level 2 - in the absence of quoted market prices, the fair values of the assets and liabilities are determined using the other observable, either directly or indirectly, inputs such as quoted prices for similar assets/liabilities in active markets or included within Level 1, quoted prices for identical or similar assets/liabilities in non-active markets.

(c) Level 3 - in the absence of quoted market prices included within Level 1 and observable inputs included within Level 2, the fair values of the remaining assets and liabilities are determined in accordance with generally accepted pricing models.

Fair value measurements that use inputs of different hierarchy levels are categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

The carrying amounts of all financial instruments approximate their respective fair values due to the relatively short-term maturity of these financial instruments.

The Company does not anticipate that the carrying amounts recorded at the end of the reporting period would be significantly different from the values that would eventually be received or settled.

2. Summary of material accounting policies (Continued)

2.18 Capital management policies and objectives

The Company manages its capital to ensure that the Company is able to continue as a going concern while maximising the return to stakeholders through optimisation of debt and equity balance.

The capital structure of the Company consists of equity attributable to owners of the Company, comprising issued share capital and retained earnings.

The Company's management reviews the capital structure on a regularly basis. As part of this review, management considers the cost of capital and the risks associated with each class of capital. Upon review, the Company will balance its overall capital structure through the payment of dividends to shareholders and return capital to shareholders or issue new shares. The Company's overall strategy remains unchanged from 31 December 2023.

The Company has no externally imposed capital requirements for the financial year ended 31 December 2024 and 2023.

3. Critical accounting judgements and key sources of estimation uncertainty

The Company made judgements, estimates and assumptions about the carrying amounts of assets and liabilities that were not readily apparent from other sources in the application of the Company's accounting policies. Estimates and judgements are continually evaluated and are based on historical experience and other factors that are considered to be reasonable under the circumstances. Actual results may differ from the estimates.

3.1 Critical judgements made in applying the Company's accounting policies

The following are the critical judgements, apart from those involving estimations (see below), that management has made in the process of applying the Company's accounting policies and that have the most significant effect on the amounts recognised in the financial statements.

Revenue from contracts with its customers

The Company has assessed that the revenue arising from these construction contracts should be recognised over time as the engineering, installation and construction works have no alternative use for the company due to contractual restrictions, and the Company generally has enforceable rights to payment for performance completed till date.

Revenue from construction contracts is recognised over time, using the input method to measure progress towards complete satisfaction of the service, as the customer simultaneously receives and consumes the benefits provided by the Company. In application of the input method, the Company used cost-to-cost method (i.e. based on the proportion of contract costs incurred for work performed to date relative to the estimated contract costs. Contract costs are mainly driven by material, labour costs and modifications in contract revenue. Accordingly, in view of the nature of the revenue form service, management considers that this input method is most appropriate in measuring the progress towards complete satisfaction of these performance obligations under FRS115 Revenue from Contracts with Customers ("FRS 115").

3. Critical accounting judgements and key sources of estimation uncertainty (Continued)

3.2 Key sources of estimation uncertainty

The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below.

Measurement of ECL of trade receivables, retention receivables and contract assets

The Company uses an allowance matrix to measure ECL for trade receivables and contract assets. The ECL rates are based on the Company's historical loss experience of the customers, for the last 3 years prior to the reporting date for various customer groups that are assessed by adjusted for forward looking factors specific to the debtors and the economic environment which could affect the ability of the debtors to settle the trade receivables. In considering the impact of the economic environment on the ECL rates, the Company assesses, for example, the gross domestic production growth rates of the country (i.e. Singapore). The Company adjusts, as necessary, the allowance matrix at each reporting date. Such estimation of the ECL rates may not be representative of the actual default in the future. There is no expected loss allowance on the Company's trade receivables, retention receivables and contract assets as at 31 December 2024.

Provision for income taxes

The Company has exposure to income taxes in several jurisdictions of which a portion of these taxes arose from certain transactions and computations for which ultimate tax determination is uncertain during the ordinary course of business. The Company recognises liabilities of expected tax issues based on their best estimates of the likely taxes due. Where the final tax outcome of these matters is different from the amounts that were initially recognised, such differences will impact the income tax and deferred tax positions in the period in which such determination is made. The carrying amounts of the Company's current tax payable as at 31 December 2024 was $1,692,554 (2023: $1,043,033).

Provision for contract cost

Determining the provision for contract costs in respect of cost of work required to be carried out for the rectification of construction defects requires an assessment of the potential defects that could arise, the estimation of the timing of rectification works and of the future costs of carrying out such rectification works. The estimates are made based on management's past experience and taking into consideration the historical trends of the amounts incurred. Hence, the current provision for contract costs could be revised in the future. The carrying amounts of and the movements in the provision are disclosed in Note 17.

4. Revenue

	2024 $	2023 $
Construction revenue	101,794,581	168,566,521
Ad-hoc services	2,033,164	2,256,093
	103,827,745	170,822,614

4. Revenue (Continued)

The geographical market information in relation to revenue of the Company is not presented due to sensitivity of the information.

The disaggregation of revenue from contracts with customers is as follows:

	2024 $	2023 $
Timing of revenue recognition		
- Over time	101,794,581	168,566,521
- Point-in time	2,033,164	2,256,093

Transaction price allocated to the remaining unsatisfied or partially satisfied performance obligations and expected to be realised in the following financial years are as follows:

	2024 $	2023 $
Within one year	60,769,084	140,293,595
After one year within five years	18,000	5,414,713
	60,787,084	145,708,308

5. Other income

	2024 $	2023 $
Interest income	863,320	450,416
Government grants	44,518	29,915
Others	476,066	702,927
	1,383,904	1,183,258

6. Employee benefits expense

	2024 $	2023 $
Salaries, bonuses and related costs (excluding directors)	10,657,257	10,705,362
Directors' remuneration:		
- Other emoluments	856,216	784,000
Employer's contributions to Central Provident Fund	1,027,832	1,024,928
Total employee benefits expense	12,541,305	12,514,290
Employee benefits expense recognised under contract costs	(10,399,446)	(9,288,189)
Amounts recognised in employee benefits expense	2,141,859	3,226,101

7. Finance costs

	2024 $	2023 $
Interest expense on lease liabilities	15,645	4,801

8. Profit before income tax

In addition to the charges/(credits) disclosed elsewhere in the notes to the financial statements, the following charges/(credit) were included in the determination of profit before taxation:

	2024 $	2023 $
Loss/(Gain) on disposal of plant and equipment	165	(277)
Loss on foreign exchange – net	152,807	93,642
Expense relating to short-term leases	72,450	121,388
Consultancy and professional fee	187,778	187,701

9. Income tax expense

	2024 $	2023 $
Current tax expense		
Current financial year	1,692,554	1,043,033
(Over)/Under provision in prior financial year	(52,024)	62,123
Deferred tax expense (Note 15)		
Current financial year	648,285	(105,347)
	2,288,815	999,809

The Company is incorporated in Singapore and accordingly is subject to income tax rate of 17% (2023: 17%).

Reconciliation of effective tax rate is as follows:

	2024 $	2023 $
Profit before tax	9,914,693	5,769,968
Income tax at statutory rate of 17%	1,685,498	980,895
Expenses not deductible for tax purposes	34,451	62,970
Income not taxable for tax purpose	(340)	(5,086)
Tax effect of partial tax exemption on chargeable income	(57,425)	(17,425)
(Over)/Under provision in prior financial year	(52,024)	62,123
Deferred tax asset not recognised	648,285	-
Others	30,370	(83,668)
	2,288,815	999,809

10. Cash and cash equivalents

	2024 $	2023 $
Cash at bank and on hand	2,588,638	944,044

Cash at banks earns interest at floating rates based on daily bank deposit rates.

11. Corporate cash pooling

	2024 $	2023 $
Corporate cash pooling	19,527,105	7,094,440

On 31 January 2020, the Company, participating entity signed a current account agreement for cash pooling with ENGIE Treasury Management SARL (“ETM”), centralising entity located in Luxembourg.

The Company’s cash in Standard Chartered Bank will be swept daily into group cash pooling structure managed by ETM in the same bank. The Company has an intra-house (“IHC”) account which represents its interest in the cash pooling structure. Each participating entity stays the owner of its centralised cash.

Based on zero balance pooling method, if daily balance is positive, the balance will be swept to centralising entity. If daily balance is negative, the balance will be balanced to zero from centralising entity. Interest on IHC will be computed based on sum of Overnight Rate and Debit (Credit) Margin.

Corporate cash pooling is denominated in Singapore Dollars.

12. Trade and other receivables

	2024 $	2023 $
Trade receivables		
- Related parties	838,820	17,428
- Third parties	5,024,152	44,525,271
	5,862,972	44,542,699
Retention receivables		
- Related parties	212,500	381,100
- Third parties	13,791,376	15,911,905
	14,003,876	16,293,005
Other receivables		
- Immediate holding company	1,094,487	-
- Related parties	44,581	-
- Third parties	399,341	30,126
- Refundable sundry deposits	75,231	87,900
- GST receivable	610,540	-
- Prepaid expenses	39,215	8,817,016
	2,263,395	8,935,042
	22,130,243	69,770,746

12. Trade and other receivables (Continued)

Trade receivables from related parties and third parties are unsecured, non-interest bearing and generally on 30 to 60 days (2023: 30 to 60 days) credit terms.

Retention receivables related to retention monies on construction contracts held by related parties and third parties and are expected to be realised in the normal operating cycle of construction projects.

Included in the prepaid expenses as of 31 December 2023 were advance payments of $8.0 million made to the contractor, relating to certain project that was completed in the current year. Following the completion of the project, the Company entered into an arrangement with the contractor to offset this amount against certain project close-out costs of $5.2 million, which were previously recorded under accrued operating expenses (Note 16). As of 31 December 2024, the remaining balance of $2.8 million was reclassified from prepaid expenses to trade receivables.

The details of the impairment of trade and other receivables and credit exposures are disclosed in Note 23.

13. Contract assets and liabilities

	2024 $	2023 $
Contract assets	10,271,589	23,832,195
Contract liabilities	(5,676,935)	(2,523,639)
	4,594,654	21,308,556

As at 1 January 2024, the Company's gross contract assets related to revenue from contracts with customers amounted to $23,832,195 (2023: 34,205,317). Contract assets represent the unbilled amount for work completed to date. The amount is transferred to trade receivables at the point at which it was invoiced to the customer.

The exposure to credit risk and impairment losses related to contract assets is disclosed in Note 23.

Contract liability represent the advances consideration received from a customer. The amount is recognised as revenue when the Company has satisfied the underlying performance obligations under the contract.

The Company's revenue recognised in the financial years that was included in the contract liability balance at the beginning of the respective financial years is as follows:

	2024 $	2023 $
Amounts included in contract liabilities at the beginning of the financial year	2,523,639	4,045,982

14. Plant and equipment

	Furniture and office equipment $	Computer and software $	Motor vehicles $	Renovation $	Total $
Cost					
At 1 January 2023	64,628	613,848	80,528	83,205	842,209
Additions	-	140,570	-	-	140,570
Disposals	-	(90,992)	-	-	(90,992)
Exchange differences	-	102	-	-	102
At 31 December 2023	64,628	663,528	80,528	83,205	891,889
Additions	-	54,065	-	-	54,065
Disposals	(4,500)	(25,400)	-	-	(29,900)
Exchange differences	-	(154)	-	-	(154)
At 31 December 2024	60,128	692,039	80,528	83,205	915,900
Accumulated depreciation					
At 1 January 2023	24,573	389,795	80,528	55,470	550,366
Depreciation for the year	6,225	131,650	-	27,735	165,610
Disposals	-	(90,869)	-	-	(90,869)
Exchange differences	-	41	-	-	41
At 31 December 2023	30,798	430,617	80,528	83,205	625,148
Depreciation for the year	6,112	139,875	-	-	145,987
Disposals	(4,275)	(25,400)	-	-	(29,675)
Exchange differences	-	(115)	-	-	(115)
At 31 December 2024	32,635	544,977	80,528	83,205	741,345
Carrying amount					
At 31 December 2023	33,830	232,911	-	-	266,741
At 31 December 2024	27,493	147,062	-	-	174,555

15. Deferred tax assets

	2024 $	2023 $
At the beginning of the year	1,291,294	1,185,947
(Charged)/credited to profit or loss for the year	(648,285)	105,347
At the end of the year	643,009	1,291,294

Movements in deferred tax assets of the Company during the financial year are as follows:

	Provisions $	Tax losses $	Total $
At 1 January 2023	189,573	996,374	1,185,947
Arising during the year	64,943	40,404	105,347
At 31 December 2023	254,516	1,036,778	1,291,294
Arising/(reversed) during the year	25,883	(674,168)	(648,285)
At 31 December 2024	280,399	362,610	643,009

Deferred tax assets are recognised to the extent that realisation of the related tax benefits through future taxable profits is probable.

16. Trade and other payables

	2024 $	2023 $
Trade payables:		
- Third parties	9,500,204	25,698,208
- Holding company	-	629,443
- Related parties	-	9,076
	9,500,204	26,336,727
Retention payables:		
- Third parties	10,619,195	12,340,530
Other payables:		
- Accrued profit sharing expenses	1,175,583	779,512
- Dividend payable	-	5,557,618
- GST payables	-	1,484,878
- Accrued contract costs	11,850,186	37,318,805
- Accrued operating expenses	2,185,024	7,919,268
	15,210,793	53,060,081
	35,330,192	91,737,338

Trade and other payables are unsecured, non-interest bearing and repayable on demand except for trade payables which are normally settled within 60 days (2023: 90 days).

Retention payables related to a portion of subcontracted value, typically 5%, withheld by the Company as retention monies. These monies will be released to subcontractors once defect liability period of the main contract ends.

Profit sharing due to eligible employees is computed based on 8% on earnings before interest and taxes.

The amount due to holding company and related parties are unsecured, interest-free and repayable on demand.

17. Provision for contract costs

Movements in the provision for contract costs are as follows:

	2024 $	2023 $
Balance at beginning of year	370,000	113,000
Additions	142,000	405,000
Utilisation	(23,690)	-
Reversal	(219,500)	(148,000)
Balance at end of year	268,810	370,000

Provision for contract costs represents management's best estimate of the cost of rectification works to be carried out for construction contracts during the warranty period based on past experience and assessment of each project.

18. The Company as lessee

The Company leases several assets including office, dormitories, and motor vehicles for two to three years on a fixed monthly repayment basis.

Extension options

The Company has several lease contracts with extension options exercisable by the Company up to 3 months before the end of the non-cancellable contract period. These extension options are exercisable by the Company and not by the lessors. The extension options are used by the Company to provide operation flexibility in terms of managing the assets used in the Company's operation.

Recognition exemptions

The Company has certain office with lease terms of 12 months or less. For such leases, the Company has elected not to recognise right-of-use assets and lease liabilities.

18. The Company as lessee (Continued)

a) Right-of-use assets

The carrying amount of right-of-use assets by class of underlying asset are as follows:

	Office space $	Site office $	Dormitories $	Motor vehicle $	Total $
Cost					
At 1 January 2023	277,944	109,731	71,980	49,401	509,056
Additions	-	92,118	-	-	92,118
Disposals relating to expired leases	-	(61,757)	-	-	(61,757)
At 31 December 2023	277,944	140,092	71,980	49,401	539,417
Additions	237,652	52,667	201,707	-	492,026
Disposals relating to expired leases	(277,944)	(47,974)	(71,980)	(49,401)	(447,299)
At 31 December 2024	237,652	144,785	201,707	-	584,144
Accumulated depreciation					
At 1 January 2023	185,296	46,594	20,994	4,117	257,001
Depreciation for the year	92,648	77,853	35,990	24,700	231,191
Disposals relating to expired leases	-	(61,757)	-	-	(61,757)
At 31 December 2023	277,944	62,690	56,984	28,817	426,435
Depreciation for the year	79,217	70,827	78,576	20,584	249,204
Disposals relating to expired leases	(277,944)	(47,974)	(71,980)	(49,401)	(447,299)
At 31 December 2024	79,217	85,543	63,580	-	228,340
Carrying amount					
At 31 December 2023	-	77,402	14,996	20,584	112,982
At 31 December 2024	158,435	59,242	138,127	-	355,804

18. The Company as lessee (Continued)

a) Right-of-use assets (Continued)

The total cash outflow for leases during the financial year ended 31 December 2024 is $332,551 (2023: $359,056).

b) Lease liabilities

	2024 $	2023 $
Lease liabilities – current	222,775	98,311
Lease liabilities - non-current	139,020	15,914
	361,795	114,225

The maturity analysis of lease liabilities is disclosed in Note 23.

c) Amounts recognised in profit or loss

	2024 $	2023 $
Interest expense on lease liabilities	15,645	4,801
Expense relating to short-term leases	72,450	121,388

19. Share capital

	2024 Number of shares	2023 Number of shares	2024 $	2023 $
Issued and fully paid ordinary shares				
At the beginning and end of the financial year	2,250,000	2,250,000	2,250,000	2,250,000

Fully paid ordinary shares, which have no par value, carry one vote per share and a right to dividends as and when declared by the Company.

20. Other reserve

Capital reserve

In 2019, the Company's immediate holding company, Engie South East Asia Pte. Ltd., contributed a sum of $723,200 in relation to the acquisition of the Company. The amount represents a gratuitous and irrevocable contribution that is repayable solely at the discretion of the Company or on liquidation of the Company.

Currency translation reserve

The currency translation reserve comprises foreign exchange differences arising from the translation of the financial statements of foreign operations whose functional currencies are different from the presentation currency of the Company.

21. Dividends

	2024 $	2023 $
Final interim tax exempt (1 tier) dividend of $Nil (2023: $2.47) per ordinary share in respect of the financial year ended 31 December 2022	-	5,557,618
First interim tax exempt (1 tier) dividend of $1.43 (2023: $ Nil) per ordinary share in respect of the financial year ended 31 December 2023	3,233,199	-
	3,233,199	5,557,618

22. Significant related party transactions

A related party is defined as follows:

(a) A person or a close member of that person's family is related to the Company if that person:

- (i) Has control or joint control over the Company;
- (ii) Has significant influence over the Company; or
- (iii) Is a member of the key management personnel of the Company or of a parent of the Company.

(b) An entity is related to the Company if any of the following conditions applies:

- (i) The entity and the Company are members of the same group (which means that each parent, subsidiary and fellow subsidiary is related to the others);
- (ii) One entity is an associate or joint venture of the other entity (or an associate or joint venture of a member of a group of which the other entity is a member);
- (iii) Both entities are joint ventures of the same third party;
- (iv) One entity is a joint venture of a third entity and the other entity is an associate of the third entity;
- (v) The entity is a post-employment benefit plan for the benefit of employees of either the Company or an entity related to the Company. If the Company is itself such a plan, the sponsoring employers are also related to the Company;
- (vi) The entity is controlled or jointly controlled by a person identified in (a);
- (vii) A person identified in (a)(i) has significant influence over the entity or is a member of the key management personnel of the entity (or of a parent of the entity);
- (viii) The entity, or any member of a group of which it is a part, provides key management personnel services to the reporting entity or to the parent of the reporting entity.

The effect of the Company's transactions and arrangements with related parties is reflected in these financial statements. The balances are unsecured, interest-free and repayable on demand unless otherwise stated.

22. Significant related party transactions (Continued)

During the financial year, in addition to those disclosed elsewhere in these financial statements, the Company entered into the following significant transactions with related parties:

	2024	2023
	$	$
Immediate holding company		
Service fee charged by	276,370	254,529
Management fee charged by	839,000	2,375,000
Shared service charged by	305,100	-
Expenses charged by	114,612	370,474
Revenue charged to	-	5,677,247
Dividends to	2,137,425	2,697,256
Related companies		
Revenue charged to	892,606	4,098,614
Expenses charged by	296,146	276,112
Interest income from	859,707	447,022
Minority shareholder		
Dividends to	1,095,774	2,860,362

Compensation of key management personnel

	2024	2023
	$	$
Short-term benefits paid to directors:		
- Salaries and related costs	856,216	784,000
- Employer's contributions to Central Provident Fund	29,070	28,902
	885,286	812,902

23. Financial instruments and financial risks

The management of the Company manages the financial risks relating to the operations of the company to ensure appropriate measures are implemented in a timely and effective manner. These risks include credit risk, market risk (including foreign currency risk and interest rate risk), and liquidity risk.

There has been no changes to the company's exposure to these financial risks or the manner in which it manages and measures the risk.

Credit risk

Credit risk refers to the risk that a counterparty will default on its contractual obligations resulting in financial loss to the company. The Company has adopted a policy of only dealing with creditworthy counterparties and obtaining sufficient collateral where appropriate, as a means of mitigating the risk of financial loss from defaults.

The Company's credit risk arises mainly from bank balances, trade and other receivables and contract assets. Bank balances are mainly deposits with banks with high credit-ratings assigned by international credit rating agencies and the Company does not expect the impairment loss from bank balances to be material, if any.

23. Financial instruments and financial risks (Continued)

Credit risk (Continued)

To assess and manage its credit risks, the Company categorises the aforementioned financial assets according to their risk of default. The Company defines default to have taken place when internal or/and external information indicates that the financial asset is unlikely to be received, which could include a breach of debt covenant, default of interest due for more than 30 days, but not later than when the financial asset is more than 90 days past due as per FRS 109's presumption.

In their assessment, the management considers, amongst other factors, the latest relevant credit ratings from reputable external rating agencies where available and deemed appropriate, historical credit experiences, latest available financial information and latest applicable credit reputation of the debtor.

The Company's internal credit risk grading categories are as follows:

Category	Description	Basis of recognising ECL
1	Low credit risks [Note 1]	12-months ECL
2	Non-significant increase in credit risks since initial recognition and financial asset is ≤ 90 days past due	12-months ECL
3	Significant increase in credit risks since initial recognition [Note 2] or financial asset is > 90 days past due	Lifetime ECL
4	Evidence indicates that financial asset is credit-impaired [Note 3]	Difference between financial asset's gross carrying amount and present value of estimated future cash flows discounted at the financial asset's original effective interest rate
5	Evidence indicates that the management has no reasonable expectations of recovering the write off amount [Note 4]	Written off

Note 1. Low credit risk

The financial asset is determined to have low credit risk if the financial assets have a low risk of default, the counterparty has a strong capacity to meet its contractual cash flow obligations in the near term and adverse changes in economic and business conditions in the longer term may, but will not necessarily, reduce the ability of the counterparty to fulfil its contractual cash flow obligations. Generally, this is the case when the Company assesses and determines that the debtor has been, is in and is highly likely to be, in the foreseeable future and during the (contractual) term of the financial asset, in a financial position that will allow the debtor to settle the financial asset as and when it falls due.

Note 2. Significant increase in credit risk

In assessing whether the credit risk of the financial asset has increased significantly since initial recognition, the Company compares the risk of default occurring on the financial asset as of reporting date with the risk of default occurring on the financial asset as of date of initial recognition, and considered reasonable and supportable information, that is available without undue cost or effort, that is indicative of significant increases in credit risk since initial recognition.

23. Financial instruments and financial risks (Continued)

Credit risk (Continued)

Note 2. Significant increase in credit risk (Continued)

In assessing the significance of the change in the risk of default, the Company considers both past due (i.e. whether it is more than 30 days past due) and forward looking quantitative and qualitative information.

Forward looking information includes the assessment of the latest performance and financial position of the debtor, adjusted for the Company's future outlook of the industry in which the debtor operates based on independently obtained information and the most recent news or market talks about the debtor, as applicable. In its assessment, the Company will generally, for example, assess whether the deterioration of the financial performance and/or financial position, adverse change in the economic environment (country and industry in which the debtor operates), deterioration of credit risk of the debtor, etc. is in line with its expectation as of the date of initial recognition of the financial asset. Irrespective of the outcome of the above assessment, the Company presumes that the credit risk on a financial asset has increased significantly since initial recognition when contract payments are >1 year past due, unless the Company has reasonable and supportable information that demonstrates otherwise.

Note 3. Credit impaired

In determining whether financial assets are credit-impaired, the Company assesses whether one or more events that have a detrimental impact on the estimated future cashflows of the financial asset have occurred. Evidence that a financial asset is credit impaired includes the following observable data:

- Significant financial difficulty of the debtor;
- Breach of contract;
- It is becoming probable that the debtor will enter bankruptcy or other financial reorganisation; or
- The disappearance of an active market for the financial asset because of financial difficulties.

Note 4. Write off

Generally, the Company writes off, partially or fully, the financial asset when it assesses that there is no realistic prospect of recovery of the amount as evidenced by, for example, the debtor's lack of assets or income sources that could generate sufficient cashflows to repay the amounts subjected to the write off.

The Company performs ongoing credit evaluation of its counterparties' financial condition and generally does not require collateral.

The Company does not have any significant credit exposure to any single counterparty or any groups of counterparties having similar characteristics.

As at the end of the financial year, trade receivables and contract assets from 4 (2023: 8) customer accounted for approximately 84% (2023: 99%) of total receivables of the Company. The remaining balance is spread over many diversified customers. The maximum exposure to credit risk is represented by the carrying amount of each financial asset in the statements of financial position.

23. Financial instruments and financial risks (Continued)

Credit risk (Continued)

Trade receivables (Note 12), retention receivables (Note 12) and contract assets (Note 13)

The Company uses the practical expedient under FRS 109 in the form of allowance matrix to measure the ECL for trade receivables, retention receivables and contract assets, where the loss allowance is equal to lifetime ECL.

The contract assets relate mainly to unbilled revenue and have substantially the same risk characteristics as trade receivables for the same type of contracts. Therefore, the Company concluded that the expected credit loss rates for trade receivables are a reasonable approximation of the credit loss rates of the contract assets.

The ECL for trade receivables, retention receivables and contract assets are estimated using an allowance matrix by reference to the historical credit loss experience of the customers for the last 3 years prior to the respective reporting dates for various customer groups that are assessed by internal ratings, adjusted for forward-looking factors specific to the debtors and the economic environment which could affect the ability of the debtors to settle the financial assets.

Trade receivables, retention receivables and contract assets are written off when there is evidence to indicate that the customer is in severe financial difficulty such as being under liquidation or bankruptcy and there is no reasonable expectations for recovering the outstanding balances.

The loss allowance for trade receivables and contract assets are determined as follows:

	Current	Within 30 days	From 31 to 90 days	From 91 to 180 days	Over 180 days	Total
31 December 2024						
ECL rates	0%	0%	0%	0%	0%	0%
Trade receivables (gross)	2,757,303	-	-	-	3,105,669	5,862,972
Retention receivables (gross)	14,003,876	-	-	-	-	14,003,876
Contract assets (gross)	10,271,589	-	-	-	-	10,271,589
Loss allowance	-	-	-	-	-	-
31 December 2023						
ECL rates	0%	0%	0%	0%	0%	0%
Trade receivables (gross)	30,040,857	12,567,573	1,318,801	(3,255)	618,722	44,542,698
Retention receivables (gross)	16,293,005	-	-	-	-	16,293,005
Contract assets (gross)	23,832,195	-	-	-	-	23,832,195
Loss allowance	-	-	-	-	-	-

Other receivables and deposits paid (Note 12)

As of 31 December 2024, the Company recorded other receivables and deposits paid of $1,613,640 (2023: $118,026). The Company assessed the impairment loss allowance of these amounts on a 12-month ECL basis consequent to their assessment and conclusion that these receivables are of low credit risk. The Company assessed that the sundry debtors and deposits paid are made to parties with good credit reputation and concluded that there has been no significant increase in the credit risk since the initial recognition of the financial asset. Using 12-month ECL, the Company determined that the ECL is insignificant.

23. Financial instruments and financial risks (Continued)

Market risk

The Company's activities expose it primarily to the financial risks of changes in foreign currency exchange rates and interest rates.

Foreign currency risk

The Company is exposed to foreign currency risk on certain income, expenses, monetary assets, mainly cash and cash equivalents, and liabilities that are denominated in currencies other than the functional currencies of the Company.As at the reporting date, the Company do not have significant foreign currency risk exposure except for the financial assets denominated in United States dollar ("USD"), Euro ("EUR") and Indonesia Rupiah ("IDR").

The carrying amounts of the Company's foreign currency denominated monetary assets and monetary liabilities as at the end of the financial year are as follows:

	Assets		Liabilities	
	2024 $	2023 $	2024 $	2023 $
USD	-	13,209	-	-
EUR	-	17,428	-	-
IDR	503,687	1,110,773	(1,392)	(5,939,833)
MYR	161,666	-	(164,986)	-

Foreign currency sensitivity analysis

The following table details the Company's sensitivity to a 5% change in various foreign currencies against the respective functional currencies of the Company. The sensitivity analysis assumes an instantaneous 5% change in the foreign currency exchange rates from the end of the financial year, with all variables held constant.

If the relevant foreign currency strengthens by 5% (2023: 5%) against the functional currency of the Company, profit or loss will increase or (decrease) by:

	United States dollar impact		Euro impact		Indonesia Rupiah impact		Malaysian Ringgit impact	
	2024 $	2023 $	2024 $	2023 $	2024 $	2023 $	2024 $	2023 $
Profit or loss	-	660	-	871	25,115	(241,453)	(166)	-

Interest rate risk

Interest rate risk refers to the risk faced by the Company as a result of fluctuations in interest rates. At the end of the reporting period, the Company has no significant interest bearing instruments.

No sensitivity analysis is performed as management expects that there will not be any significant impact to profit or loss from any fluctuations in interest rates.

23. Financial instruments and financial risks (Continued)

Liquidity risk

Liquidity risk refers to the risk in which the Company encounters difficulties in meeting its short-term obligations. Liquidity risk is managed by matching the payment and receipt cycle.

The company's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the company's reputation.

The following details the Company's remaining contractual maturity for its non-derivative financial instruments. The tables have been drawn up based on undiscounted cash flows of financial statements based on the earliest date of which the Company is expected to receive or pay. The table includes both expected interest and principal cash flows.

	Effective interest rate %	Less than 1 year $	2 to 5 years $	Total $
Undiscounted financial assets				
Cash and cash equivalents	-	2,588,638	-	2,588,638
Corporate cash pooling	2.70 to 4.22	19,527,105	-	19,527,105
Trade and other receivables	-	21,480,488	-	21,480,488
As at 31 December 2024		43,596,231	-	43,596,231
Cash and cash equivalents	-	944,044	-	944,044
Corporate cash pooling	1.37 to 3.56	7,094,440	-	7,094,440
Trade and other receivables	-	60,953,730	-	60,953,730
As at 31 December 2023		68,992,214	-	68,992,214
Undiscounted financial liabilities				
Trade and other payables	-	35,330,192	-	35,330,192
Lease liabilities	1.30 to 4.51	232,456	141,059	373,515
As at 31 December 2024		35,562,648	141,059	35,703,707
Trade and other payables	-	90,252,460	-	90,252,460
Lease liabilities	0.86 to 4.35	100,178	16,000	116,178
As at 31 December 2023		90,352,638	16,000	90,368,638
Net contractual undiscounted cash flows				
- at 31 December 2024		8,033,583	(141,059)	7,892,524
- at 31 December 2023		(21,360,424)	(16,000)	(21,376,424)

23. Financial instruments and financial risks (Continued)

Liquidity risk (Continued)

Financial instruments by category

The carrying amount of the different categories of financial instruments is as disclosed on the face of the statements of financial position and as follows:

	Note	2024 $	2023 $
Financial assets at amortised cost			
Cash and cash equivalents	10	2,588,638	944,044
Corporate cash pooling	11	19,527,105	7,094,440
Trade and other receivables	12	21,480,488	60,953,730
		43,596,231	68,992,214
Financial liabilities at amortised cost			
Trade and other payables	16	35,330,192	90,252,460
Lease liabilities	18	361,795	114,225
		35,691,987	90,366,685